INSURANCE AND PENSIONS COMMISSION

LIFE REPORT

FOR

LIFE ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2014

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0 Industry Overview

This report is based on 10 Life companies and 2 reassurance companies. The life companies wrote $218 million in net premiums, a 17% growth from $188million realized in the same period last year. Expenditure grew by 18% from $141million to conclude the current reporting period at $167million resulting in a $52million technical profit (September 2013: $47million).The expense and combined ratios remained almost stagnant at levels of 25% and 76% respectively.

Total assets grew by 12% from $1, 46 billion last year to $1,67 billion in the current reporting period.

The major challenges affecting the industry were minimal compliancy with prescribed assets ratio, capitalization among others. The Commission will continue to work with the industry in order to ensure compliancy

Table 1, below summarizes the key financial highlights of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the period ended 30 September 2014(Cumulative)

Item	Life Assurers			Life Reassurers			TOTALS		
	Sep 2013	Sep 2014	Growth	Sep 2013	Sep 2014	Growth	Sep 2013	Sep 2014	Growth
Gross Premiums Written ($000)	186,026	215,960	16%	5,272	7,247	37%	191,298	223,207	17%
Net Premiums Written ($000)	183,207	212,343	16%	4,297	6,133	43%	187,504	218,476	17%
Retention Ratio	98%	98%	-	82%	85%	4%	98%	98%	-
Total Gross Claims ($000)	94,136		-100%	2,182	2,652	22%	96,318	2,652	-97%
Total Net Claims ($000)	93,466	108,592	16%	2,077	2,652	28%	95,543	111,244	16%
Management Expenses ($000)	36,801	43,368	18%	1,075	972	-10%	37,876	44,340	17%
Commissions ($000)	6,321	9,318	47%	1,213	2,000	65%	7,534	11,318	50%
Total Costs($000)	136,588	161,278	18%	4,365	5,624	29%	140,953	166,902	18%
Technical Profit(000)	46,619	51,095	10%	(68)	509	-849%	46,551	51,604	11%
Expense Ratio (%)	24%	25%	1%	53%	48%	(5%)	24%	25%	1%
Claims Ratio	51%	51%	0%	48%	43%	5%	51%	51%	0%
Combined Ratio	75%	76%	(1%)	102%	92%	11%	75%	76%	1%
Total Assets ($000)	1,453,338	1,627,561	12%	6,951	13,607	96%	1,460,289	1,641,168	12%
Current Assets	201,322	**319,089**	58%	4,787	4,858	1%	206,109	323,947	57%
Current Liabilities	244,480	165,350	-32%	2,164	1,309	-40%	246,644	166,659	-32%
Total Liabilities ($000)	1,208,858	1,376,916	14%	4,787	6,405	34%	1,213,645	1,383,321	14%
Free Capital($000)	244,480	255,647	5%	2,164	7,201	233%	246,644	262,848	7%
Liquidity/Current Ratio	82%	193%	0%	221%	371%	150%	84%	194%	0%
Capital to liability Ratio	20%	19%	0%	45%	112%	67%	20%	19%	0%
Prescribed Asset Ratio (%)	1%		0%			0%		0	0%

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 10 life companies.

4.0 Net Premiums Written

For the quarter ended 30 September 2014, life companies wrote$212million in net premiums (September 2013:$183million), a 16% quarterly growth rate (See Table 2, below).

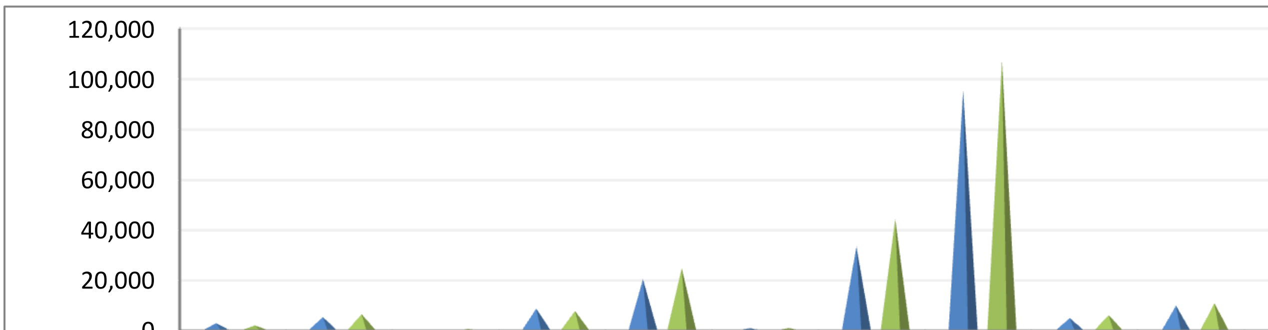
Table 2: Net Written Premium Distribution by Company for the period ended 30 September 2014

Name of Company	NPW (USD 000)		Growth
	Sep-13	Sep-14	Annual
Altfin	2,937	2,111	-28%
Cbz	5,445	6,565	21%
Evolution	408	702	72%
Fidelity	8,811	7,848	-11%
FML	20,495	24,910	22%
Heritage	1,009	1,064	5%
Nyaradzo	33,535	44,542	33%
Old Mutual	95,570	107,520	13%
Zb Life	5,002	6,184	24%
Zimnat	9,995	10,897	9%
TOTAL	183,207	212,343	16%

5.0 Market Share For Life Assurance Companies

For the period under review, the three biggest players controlled $177 million or 84% of net premium written (September 2013:$150 million or 81%). Instead of price competition alone, the industry is encouraged to focus mainly on sustainable product innovation and quality (See Figure 1, below).

Figure1: Market share by company for the period ended 30 September 2014



	Alt	Cbz	Evoln	Fidel	FML	Her	Nyar	OM	Zb L	Zimnt
Sep,2013	2,937	5,445	408	8,811	20,495	1,009	33,535	95,570	5,002	9,995
share(%)	2%	3%	0%	5%	11%	1%	18%	52%	3%	5%
Sep,2014	2,111	6,565	702	7,848	24,910	1,064	44,542	107,520	6,184	10,897
share(%)	1%	3%	0%	4%	12%	1%	21%	51%	3%	5%

6.0 Business Composition by Income Stream

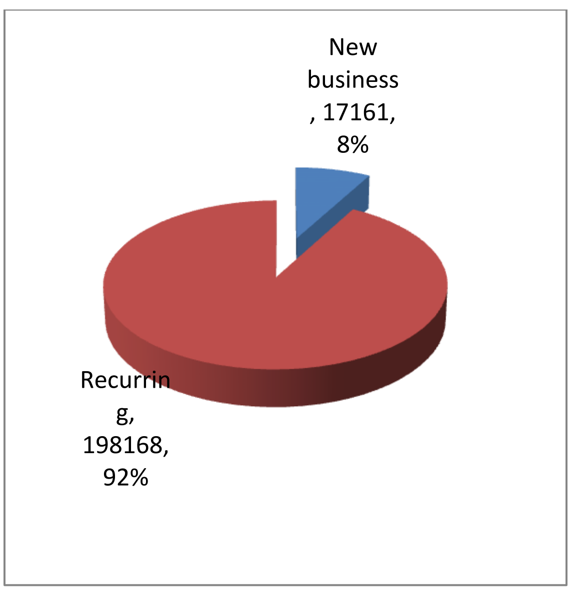
For the current review period, gross premium written by life companies grew by 16% from $186million to $215million- 92% or $198million was recurring business and the balance of 8% or $17million was new business.

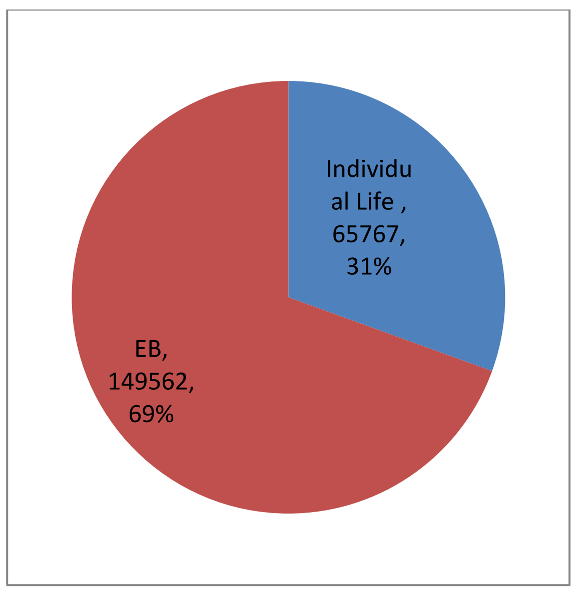
Employee benefits business contributed $150 million or 69% (September 2013:$132million or 71%) in gross premium whilst $66million or 31% was individual life assurance (September 2013:$54million or 29%).The slight growth in individual lines business may be due to the industry now focusing on the informal sector via micro insurance in line with prevailing economic realities and our current thrust as the Commission (See Table 3 and Figure 1, below).

Table 3: Business Composition by Company for the period ended 30 September 2014

Co. Name	Individual Life ($000)						Employee Benefits ($000)						Totals ($000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Gross Premiums Written		
	Sep-13	Sep-14	%	Sep-13	Sep-14	%	Sep-13	Sep-14	%	Sep-13	Sep-14	%	Sep-13	Sep-14	%
Altfin	38	0	-100%	3,119	160	-95%	0	0	0	211	2,168	927%	3,368	2328	-31%
CBZ Life	676	118	-83%	3,153	5,159	64%	0	0	0	1,763	1,497	-15%	5,592	6774	21%
Evolution	181	111	-39%	240	593	147%	0	0	0	0	0	0%	421	704	0%
Fidelity	609	524	-14%	2,629	2,563	-3%	22	0	0	5,846	4,975	-15%	9,106	8062	-11%
FML	1,292	1,887	46%	8,188	9,395	15%	248	4,394	1672	10,952	9,478	-13%	20,680	25154	22%
Heritage	9	2	-78%	610	748	23%	1	0	0	428	344	-20%	1,048	1108	6%
Nyaradzo	1,075	1,082	1%	22,334	30,612	37%	394	418	6	9,805	12,430	27%	33,608	44542	33%
O. Mutual	1,845	2,253	22%	3,986	5,924	49%	4,257	4,324	2%	86,062	95,864	11%	96,150	108365	13%
Zb Life	843	760	-10%	1,315	1,630	24%	144	208	44%	3,110	3,990	28%	5,412	6588	22%
Zimnat	357	275	-23%	1,193	1,971	65%	290	805	178%	8,801	8,653	-2%	10,641	11704	10%
TOTAL	6,925	7,012	1%	46,767	58,755	26%	5,356	10,149	74%	126,978	139,413	10%	186,026	215,329	16%

Figure 2: Business Composition





7.0 Business Composition by Product Class

The three major classes of business were from fund business ($113million or 53%), funeral (29% or $62million) and GLA ($23million or 11%) (See Table 4 and Figure 3 below).The Commission encourages product innovation both to dilute this concentration risk and for sustainability of the industry in the long haul given the on-going changes in the socio-economic setup (See Table 4 and Figure 2,below)

Table 4: Gross Premium Written Business by Policy type for the quarter ended 30 September 2014

Co.	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%	13-Sep	14-Sep	%
Altfin	33	2	(94)	5	1	(80)	0	0	0	0	0	0	0	0	0	0	0	0	3,330	2,325	0	0	0	0	3,368	2,328	0
CBZ Life	0	0	0	2,114	2,345	0	0	502	0	0	0	0	0	0	0	3,479	3,927	13	0	0	0	0	0	0	5,592	6,774	0
Evolution	0	0	0	0	0	0	0	1	0	0	0	0	104	500	381	268	83	(69)	0	0	0	49	121	0	421	704	0
Fidelity	53	68	28	0	0	0	654	382	0	73	125	71	331	344	4	1,944	1,893	(3)	5,869	4,583	(22)	182	668	267	9,106	8,063	(11)
FML	1,410	4,447	215	0	713	0	111	145	31	1,045	0	0	248	452	82	6,686	6,821	2	11,180	8,490	(24)	0	4,085	0	20,680	25,153	0
Heritage	9	5	(44)	0	0	0	7	3	(57)	96	48	(50)	0	0	0	507	708	40	429	309	(28)	0	34	0	1,048	1,107	0
Nyaradzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	33,608	44,542	33	0	0	0	0	0	0	33,608	44,542	0
O. Mutual	1,563	2,122	36	0	0	0	0	0	0	0	0	0	2,300	3,559	55	1,969	2,495	27	76,569	86,081	12	13,749	14,107	3	96,150	108,364	13
Zb Life	23	35	52	612	132	(78)	0	213	0	164	83	(49)	12	44	267	32	254	694	4,569	5,827	28	0	0	0	5,412	6,588	0
Zimnat	190	264	39	93	74	(20)	0	0	0	0	0	0	91	398	337	1,366	1,773	30	5,153	5,522	7	3,748	3,673	(2)	10,641	11,704	10
Total	**3,281**	**6,943**	112	**2,824**	**3,265**	16	**772**	**1,246**	61	**1,378**	**256**	(81)	**3,086**	**5,297**	72	**49,859**	**62,496**	25	**107,099**	**113,137**	6	**17,728**	**22,688**	28	**186,026**	215,327	16

Figure3: Gross Premium By product Type

	Annuities	T/ Ass	Endment	P/ Endment	W/ Life	Funeral	Funds	Other
Sep,13	3,281	2,824	772	1,378	3,086	49,859	107,099	17,728
%	2%	2%	0%	1%	2%	27%	58%	10%
Sep,14	6,943	3,265	1,246	256	5,297	62,496	113,137	22,688
%	3%	2%	1%	0%	2%	29%	53%	11%

5.2.1 Not-taken Up and Lapsed Policies

The industry generally reported healthy lapse ratio which signal generally good market conduct. Individuals recorded higher lapse ratios probably due to affordability challenges.(see Table 5, below).

Table5: Lapsed Policies for the period ended 30 September 2014

Co. Name	Lapse Ratios (%)	
	Individual	**E.B/Corporates**
Altfin	0	75
CBZ Life	8	0
Evolution	23	11
Fidelity	0	0
FML	44	0
Heritage	17	27
Nyaradzo	20	30
O. Mutual	14	0
Zb Life	14	0
Zimnat	0	0

7.0 Claims Analysis

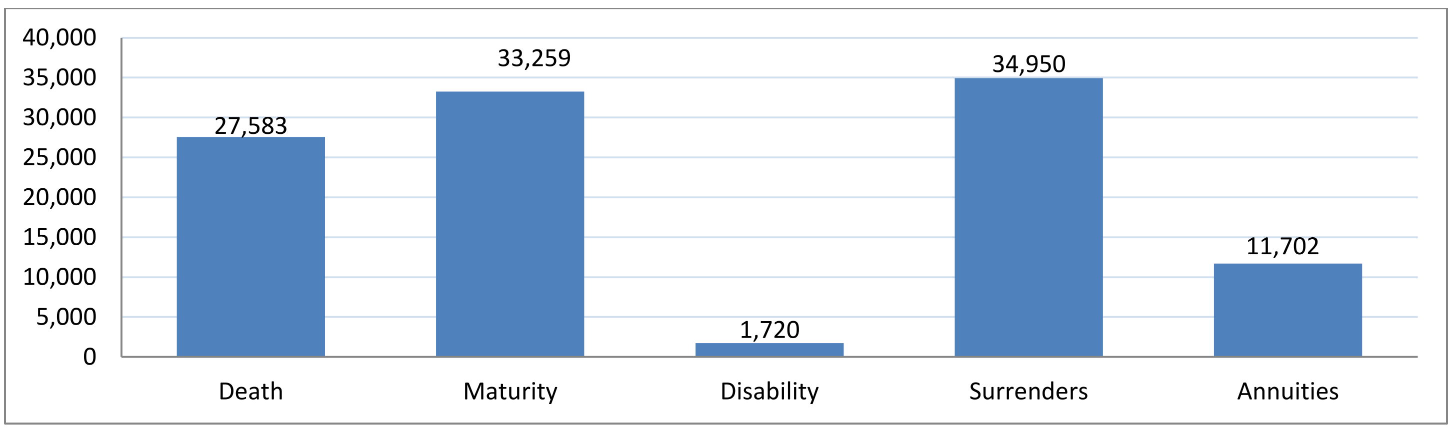
For the third quarter ended 30 September 2013, life companies paid $109million in net claims (September 2013: $93million).Total claims grew by 21% annually against premium growth of 17%.

However in gross terms, the major claim categories were surrenders-($35million or 32%), maturity ($33million or 30%) and death ($28million or 25%) (See Table 6 and Figure 4 below).

Table 6: Claims Categories by Company for the period ended 30 September 2014($000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Sep 13	Sep 14	(%)	Sep 13	Sept 14	(%)	Sep 13	Sept 14	(%)	Sep 13	Sept 14	(%)	Sep 13	Sept 14	(%)	Sep 13	Sept 14	(%)	Sep 13	Sept 14	(%)
Altfin	0	2	0%	84	0	0%	0	0	0	20	69	0%	916	497	0%	0	0	0%	1,020	568	0%
CBZ Life	1,135	1,467	29%	0	25	0%	0	0	0	0	103	0%	116	229	0%	0	0	0%	1,251	1,824	0%
Evolution	33	66	100%	0	28	0%	22	0	0	0		0%	0		0%	0	0	0%	55	94	0%
Fidelity	810	753	-7%	255	164	-36%	0	0	0	105	234	124%	76	151	99%	9	33	267%	1,237	1,269	3%
FML	2,449	1,248	-49%	1,070	5,053	372%	0	1,624	0	1,193	3,162	165%	838	1,274	52%	-	242	0%	5,549	12,119	0%
Heritage	122	135	11%	1	1	0%	0	0	0	26	19	-27%	10	20	100%	0		0%	159	175	0%
Nyaradzo	16,261	12,378	-24%	0	0	0%	0		0	0		0%	0		0%	0		0%	16,261	12,378	24
O. Mutual	7,446	8,432	0%	17,497	25,690	0%	0	96	0	30,063	30,523	0%	7,772	9,210	0%	250	294	0%	62,529	73,658	0%
Zb Life	1,044	1,123	13%	125	275	120%	0	0	0	552	786	42%	74	321	334%	52	52	0%	1,743	2,452	22%
Zimnat	3,485	1,979	8%	504	2,023	301%	0	**0**	0	31	53	71%	0	0	0%	359	0	0%	3,662	4,055	0%
Total	**32,785**	**27,583**	(16%)	**19,536**	**33,259**	70%	**22**	1,720	7718	**31,990**	**34,950**	9%	**9,802**	**11,702**	9%	**670**	**621**	-7%	**93,466**	**108,592**	21%

Figure 4: Claims Categories by Company for the period ended 30 September 2014 ($000)



7.0 Claims Aged Analysis

For the current period, life companies reported outstanding claims in the sum of $2million.Industry players must pay all bona fide claims timely in accordance with best practices and policy conditions (See table 7, below).

Table7: Claims Aged Analysis by Company for the period ended 30 September 2014($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	0	0	3	0	54	57
CBZ Life	89	9	0	0	7	104
Evolution	25	12	0	0	0	27
Fidelity	106	16	11	0	0	133
FML	96	41	86	17	32	272
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	207	0	0	0	0	207
Zb Life	111	71	33	1	164	380
Zimnat	0	0	0	0	0	0
Total	**439**	**172**	**87**	**135**	**923**	1756

8.0 Debtors Aged Analysis

For the period under review, life companies reported outstanding premiums amounting to $5million or 3% of gross written premium. Thus the average premium collection rate was 97 % (See Table 8, below).

Table 8: Debtors Aged Analysis by Company for the period ended 30 September 2014($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	**24**	69	69	492	910	1,564
CBZ Life	**0**	41	16	0	0	57
Evolution	**68**	60	224	108	136	596
Fidelity	**502**	247	272	30	1,559	2,611
FML	**310**	164	411	0	0	884
Heritage	**126**	86	50			349
Nyaradzo	**2,031**	0	0	0	0	2,031
O. Mutual	**-**	-	-	-	-	0
Zb Life	**-**	-	-	-	-	0
Zimnat	**-**	-	-	-	-	0
Total	**1,339**	**787**	**605**	**1,113**	**1,589**	5,433

9.0 Earnings

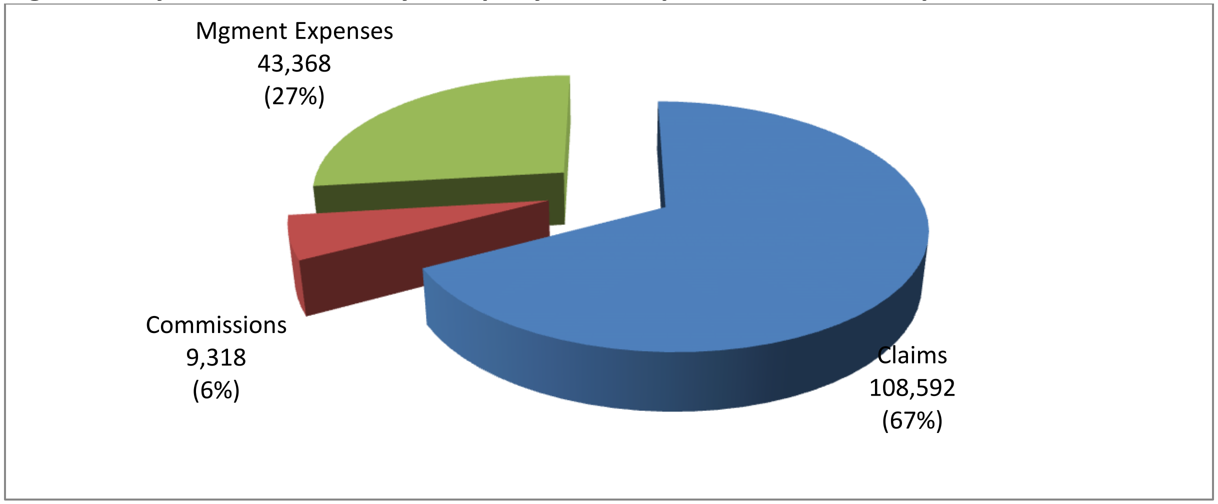
The breakdown of industry expenditure was reported as follows -claims:$109million or 67%(September 2013:$93million or 68%) ,operational expenditure accounted for $43million or 27% (September 2013:$37million or 27%) whilst commission was 6% or $9million(September 2013: 5% or $6million).

The industry reported a combined ratio of $76% (September 2013:75%)(See Table 9, and Figure 2,below). Prudent cost management continues to be key given the current challenging investment environment (See Table 9, and Figure 5,below).

Table 9: Key Income and Cost Indicators By Company for the period ended 30 September 2014

Co. Name	NPW($000)		Claims($000)			Commissions($000)			Management Expenses ($000)			Total Costs($000)			Combined Ratio		
	Sep 13	Sept 14	Sep 13	Sept 14	Growth	Sep 13	Sept 14	Growth	Sep 13	Sept 14	Growth	Sep 13	Sep 14	Growth-%	Sep 13	Sep 14	Var
Altfin	2,937	2,111	1,020	568	-44%	271	215	-21%	1,200	1,143	-5%	*2,491*	1,926	-23%	*85%*	91%	6%
CBZ Life	5,445	6,565	1,251	1,824	46%	498	1,043	109%	1,592	1,812	14%	*3,341*	4,679	40%	*61%*	71%	10%
Evolution	408	702	55	94	71%	29	70	141%	526	459	-13%	*610*	623	2%	*150%*	89%	(61%)
Fidelity	8,811	7,848	1,237	1,269	3%	289	158	-45%	3,882	3,437	-11%	*5,408*	4,864	-10%	*61%*	62%	1%
FML	20,495	24,910	5,549	12,119	118%	1,363	1,182	-13%	9,619	12,490	30%	*16,531*	25,791	56%	*81%*	104%	23%
Heritage	1,009	1,064	159	175	10%	179	163	-9%	493	595	21%	*831*	933	12%	*82%*	88%	6%
Nyaradzo	33,535	44,542	16,261	12,378	-24%	1,918	3,635	90%	5,030	6,688	33%	*23,209*	22,701	-2%	*69%*	51%	18%
O. Mutual	95,570	107,520	62,529	73,658	18%	1,019	1,378	35%	10,082	11,281	12%	*73,630*	86,317	17%	*77%*	80%	3%
Zb Life	5,002	6,184	1,743	2,452	41%	384	651	70%	1,958	3,030	55%	*4,085*	6,133	50%	*82%*	99%	17%
Zimnat	9,995	10,897	3,662	4,055	11%	371	823	122%	2,419	2,433	1%	*6,452*	7,311	13%	*65%*	67%	2%
Total	**183,207**	212,343	**93,466**	**108,592**	16%	**6,321**	**9,318**	47%	**36,801**	**43,368**	18%	*136,588*	161,278	18%	*75%*	76%	1%

Figure5: Key Cost Indicators By Company for the quarter ended 30 September 2014



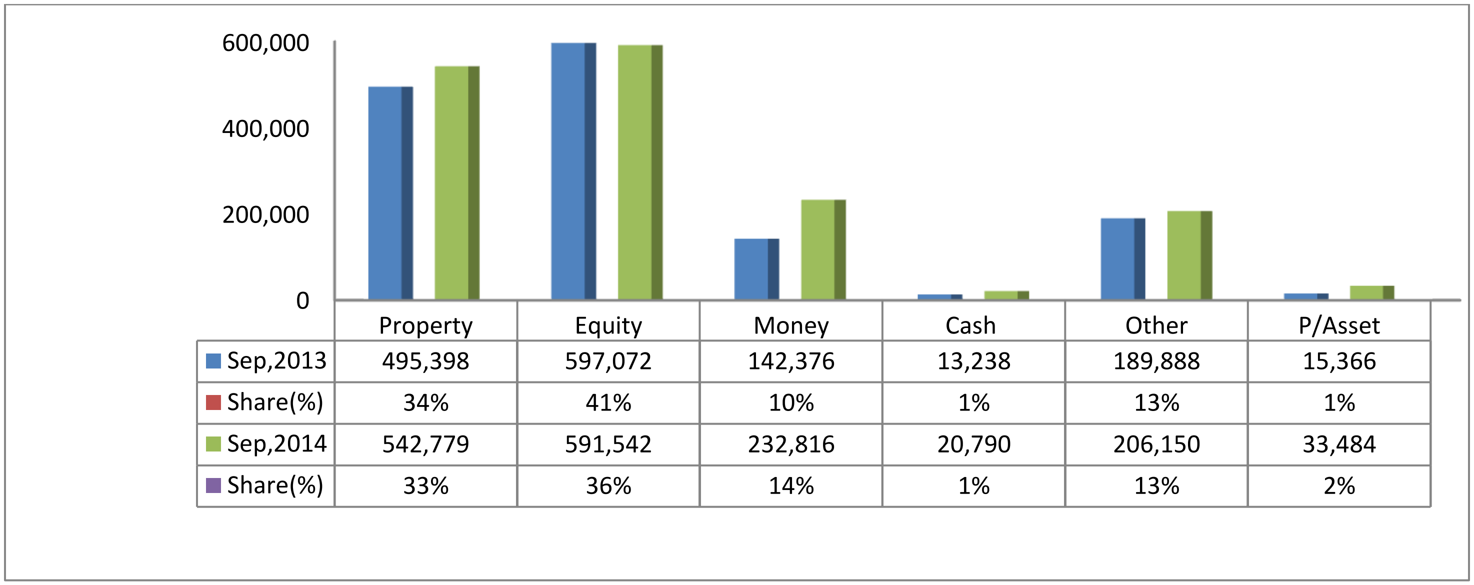
10. Asset Quality

The asset portfolio for the industry was in: properties-33% or $543million (September 2013: 34% or $495million), equities-$592million or 36% (September 2013: $597million or 41%) money market-$233million or 14%(September 2013: $142million or 10%), cash assets-$21million or 1% (September 2013:$13million or 1%) and other assets-$206million or 13%(September 2013: -$190million or 13%).Although there is a slight improvement, the prescribed asset appetite continued to be low at 2% or $33million (September 2013: 1% or $15million).The Commission requires increased uptake given improved availability of approved paper. Furthermore the Ministry Of Finance has encouraged players to come up with own proposed paper to suit risk profile in order to boost compliance to a minimum of 7.5% (See Table 10 and Figure 6,below).

Table 10: Life industry Asset bases at 30 September 2014

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14		Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	%	Sep 13	Sep 14	Ann-%
Altfin	1,500	3,043	103%	0	2,888	0%	-340	2,490	(832)%	342	126	-63%	1,254	1,471	17%	0	643	0%	2,756	10,661	287%
CBZ Life	188	318	69%	0	0	0%	5,894	8,576	46%	347	322	-7%	681	785	15%	504	822	63%	7,614	10,823	42%
Evolution	35	30	-14%	0	0	0%	269	160	-41%	26	6	-77%	2,657	3,304	24%	0	100	0%	2,987	3,600	21%
Fidelity	21,214	22,726	7%	6,349	6,408	1%	3,925	12,371	215%	830	6,989	742%	7,775	16,241	109%	0	0	0%	40,093	64,735	61%
FML	0	13,837	0%	26,480	26,882	2%	9,851	4,052	-59%	1,971	2,252	14%	132,619	138,877	5%	1,737	4,561	163%	172,658	190,461	10%
Heritage	637	701	10%	22	1,282	5727%	1,587	24	-98%	45	11	-76%	407	796	96%	0	0	0%	2,698	2,814	4%
Nyaradzo	17,491	24,444	40%	109	146	34%	3,498	8,207	135%	3,044	3,659	20%	8,255	13,058	58%	200	1,033	417%	32,597	50,547	55%
O.Mutual	435,460	456,907	5%	529,445	518,718	-2%	110,807	178,448	61%	5,714	6,150	8%	25,468	25,975	2%	12,293	25,571	108%	1,119,187	1,211,769	8%
Zb Life	3,433	3,433	0%	22,552	21,291	-6%	1,997	2,951	48%	113	155	37%	2,207	1,816	-18%	413	430	4%	30,715	30,076	-2%
Zimnat	15,440	17,340	12%	12,115	13,927	15%	4,888	15,537	218%	806	1,120	39%	8,565	3,827	-55%	219	324	48%	42,033	52,075	24%
Total	**495,398**	**542,779**	**10%**	**597,072**	**591,542**	**-1%**	**142,376**	**232,816**	**64%**	**13,238**	**20,790**	**57%**	**189,888**	**206,150**	**9%**	**15,366**	**33,484**	**118%**	**1,453,338**	**1,627,561**	**12%**

Figure 6: Life industry Asset bases for the half year ended 30September 2014



11. Capitalization, Solvency and Liquidity Trends

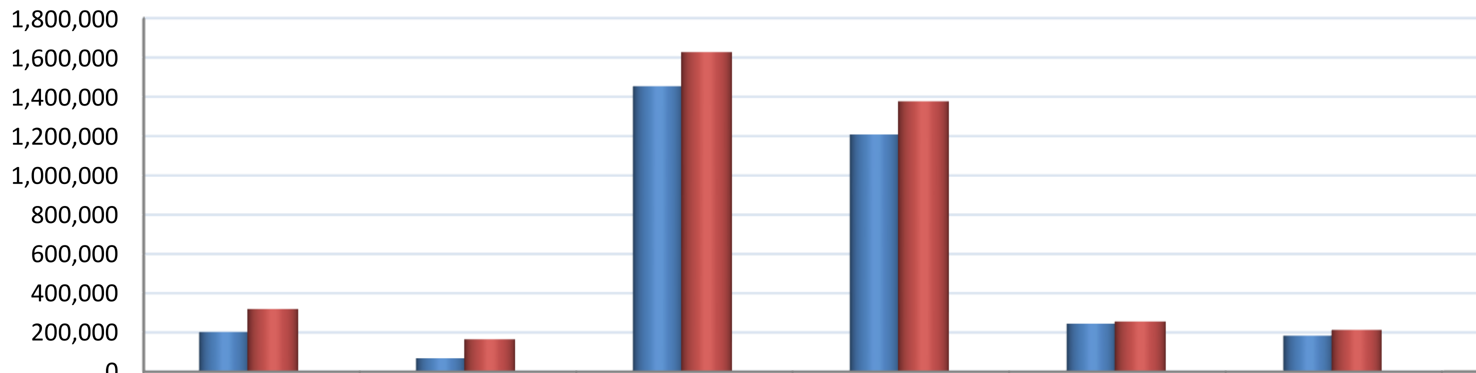
As at 30 September 2014, Life companies were largely capitalized to at least $2million as prescribed by Statutory Instrument 21 of 2013 (See table 11 below).The Commission is engaging the undercapitalized players to ensure compliance.

The industry reported capital to liability and liquidity ratios of 19% and 101% respectively (September 2013: 20% and 294%) (See Table 11, below).

Table 11: Capitalization, Solvency and Liquidity Trends As At 30 September 2014 (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			*Capital to NPW Ratio (%)*		
	Sep 13	**Sept 14**	%	**Sep 13**	**Sept 14**	%	**Sep 13**	**Sept 14**	**Sep 13**	**Sept 14**	%	**Sep 13**	**Sept 14**	%	**Sep 13**	**Sept 14**	**Sep 13**	**Sept 14**	%	**Sep 13**	**Sept 14**	%	**Sep 13**	**Sept 14**	%
Altfin	1,013	4,512	345%	1,543	9,258	500%	2,756	10,661	2,280	10,253	350%	475	408	-14%	2,937	2,111	21	4	17	90	49	-41	16	19	3
CBZ Life	7,424	10,061	36%	1,282	2,156	68%	7,614	10,823	2,320	2,925	26%	5,293	7,898	49%	5,445	6,565	228	270	42	352	467	115	97	120	23
Evolution	419	1,145	173%	401	444	11%	2,987	3,600	579	642	11%	2,408	2,958	23%	408	702	416	461	45	104	258	154	590	421	(169)
Fidelity	12,530	35,601	184%	5,058	9,927	96%	40,093	64,735	31,517	53,570	70%	8,576	11,165	30%	8,811	7,848	27	21	6	248	359	111	97	142	45
FML	21,445	13,486	-37%	6,048	30,082	397%	172,658	190,461	105,303	122,519	16%	67,355	67,942	1%	20,495	24,910	64	55	9	370	45	-325	329	273	(56)
Heritage	1,926	670	-65%	180	129	-28%	2,698	2,814	359	303	-16%	2,338	2,512	7%	1,009	1,064	651	829	178	1126	519	-607	232	236	4
Nyaradzo	14,870	25,830	74%	28,569	47,190	65%	32,597	50,547	30,336	47,190	56%	2,262	3,357	48%	33,535	44,542	7	7	-	49	55	6	7	8	1
O Mutual	136,850	208,445	52%	22,502	61,517	173%	1,119,187	1,211,769	979,245	1,073,891	10%	139,943	142,878	2%	95,570	107,520	14	13	-1	607	339	(268)	146	133	-13
Zb Life	2,819	3,885	38%	986	2,006	103%	30,715	30,076	25,058	27,622	10%	5,657	2,454	(57)%	5,002	6,184	23	9	14	292	194	-98	113	40	-73
Zimnat	2,026	15,454	663%	1,794	2,641	47%	42,033	52,075	31,861	38,001	19%	10,172	14,075	38%	9,995	10,897	32	37	5	141	585	444	102	129	27
Total	**201,322**	**319,089**	58%	**68,363**	**165,350**	142%	1,453,338	1,627,561	**1,208,858**	**1,376,916**	14%	**244,479**	**255,647**	5%	**183,207**	212,343	20	19	-1	294	193	-101	33	120	87

Figure 7: Capitalization, Solvency and Liquidity Trends



	C/Assets	C/Liabilities	Assets	T/Liability	Capital	NPW
Sep,2013	201,322	68,363	1,453,338	1,208,858	244,479	183,207
Sep,2014	319,089	165,350	1,627,561	1,376,916	255,647	212,343
% growth	58%	142%	12%	14%	5%	16%

12. Reinsurance

The average retention average remained at 98% meaning that only 2% of the business underwritten by life companies was ceded to reinsurers. This represented a 7 % decline in reinsurance premiums compared to the same period last year. Only four companies out of the ten, managed to cede a portion ($620 000) of the business underwritten as at 30 September 2014.

Re-working of the reporting template is at advanced stages in order to reflect the statistics and trends more meaningfully on risk business.

Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 life reassurers.

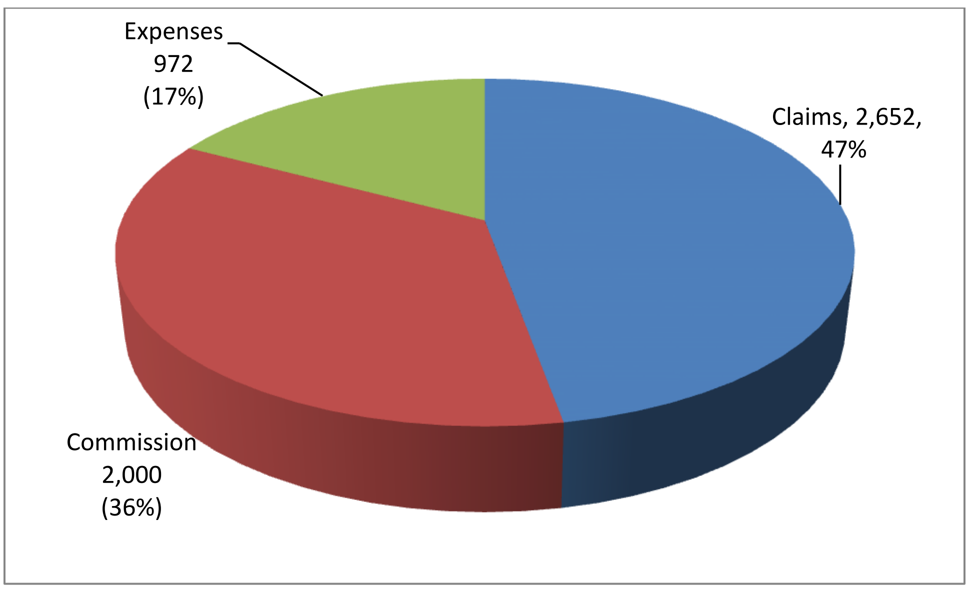
2.0 Business Written

Table 1 below, shows that there was a 43% growth from $5million in the comparable quarter last year to close at $7million in net written business.

Table 1: Key Performance Indicators for the quarter ended 30 September 2014(000)

Item	Baobab Re			FM Re			Total		
	Sep-13	Sept 14	%	Sep-13	Sept 14		Sep-13	Sept 14	%
Gross Premium Written	3,818	3,910	2%	1,454	3,337	130%	5,272	7,247	37%
Net Premium Written	3,026	3,256	8%	1,271	2,877	126%	4,297	6,133	43%
Net Claims Incurred	1,483	1,446	-2%	594	1,206	103%	2,077	2,652	28%
Net Commission Incurred	925	1,017	10%	288	983	241%	1,213	2,000	65%
Management Expenses	660	605	-8%	415	367	-12%	1,075	972	-10%
Total Costs	3,068	3,068	0%	1,297	2,556	97%	4,365	5,624	29%
Underwriting Profit	(42)	188	-548%	(26)	321	-1335%	(68)	509	-849%
Combined Ratio	101%	94%	7%	102%	89%	(13%)	102%	92%	(10%)

Figure 1: Cost Drivers for the Reassurers for the quarter ended 30 September 2014



3.0 Earnings

For the current review period, cost grew by 29% from $4,3million to $5,6million whilst net premium income grew by 43%.Thus players reported an underwriting profit of $0.5million .The combined ratio shed 10% points from 102% reported previously to 92% (See Table 1 and

Figure 1 above).

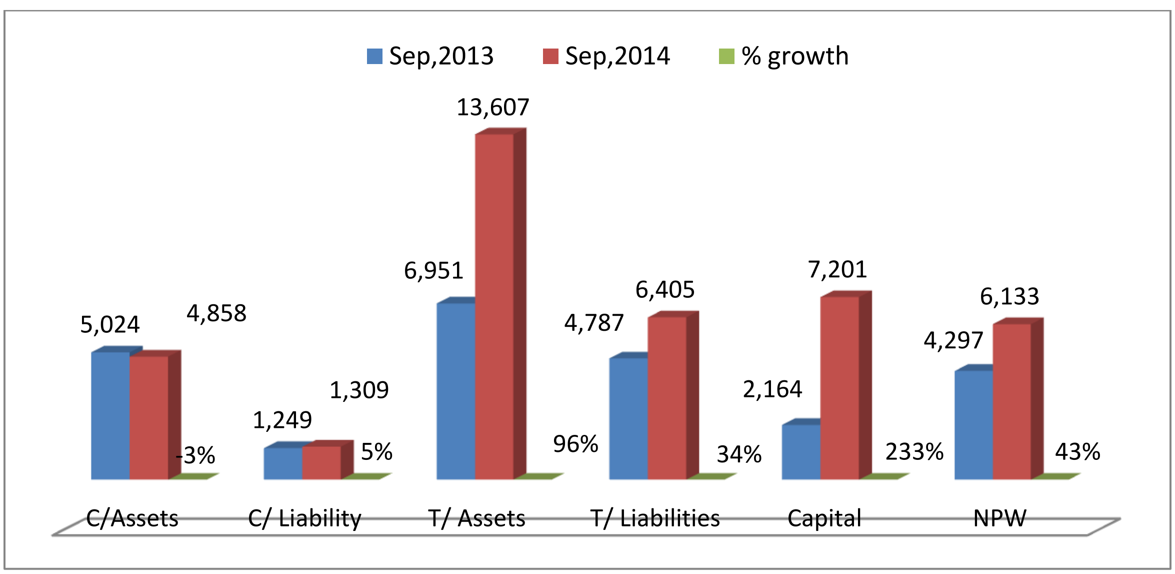
4.0 Capitalization and Solvency

As at 30 September 2014, Baobab Life and Health was fully compliant with the $1.5minimum capital requirements in line with Statutory Instrument 21 of 2013 whilst and FM Re Life and Health marginally fell short. Engagements are ongoing with the latter to enforce compliancy (See Table 2 and Figure 2, below).

Table 2: Key Performance Indicators for the quarter ended 30 September 2014(000)

Item	Baobab Re			FM Re			Total		
	Sep-13	Sept 14	%	Sep-13	Sept 14	%	Sep-13	Sept 14	%
Current Assets	3,237	2,769	-14%	1,787	2,089	17%	5,024	4,858	-3%
Total Assets	4,584	10,878	137%	2,367	2,729	15%	6,951	13,607	96%
Current Liabilities	701	573	-18%	548	736	34%	1,249	1,309	5%
Total Liabilities	3,715	4,950	33%	1,072	1,455	36%	4,787	6,405	34%
Capital	869	5,927	582%	1,295	1,274	-2%	2,164	7,201	233%
Prescribed Assets	30	20	-33%	0	0	0%	30	20	33%
Prescribed asset Ratio	1%	0	-	0	0	-	0	0	-
Current Ratio	462%	483%	21%	326%	284%	42%	402%	371%	(31%)
Capital to liability ratio	23%	120%	97%	121%	24%	(97%)	45%	112%	67%
Net premium written	3,026	3,256	8%	1,271	2,877	126%	4,297	6,133	43%
Capital to Net premium written ratio	**29%**	182%	**153%**	**102%**	51%	**(51%)**	**50%**	117%	**67%**

Figure 2: Capitalization and Solvency Indicators for the quarter ended 30 September 2014 (000)



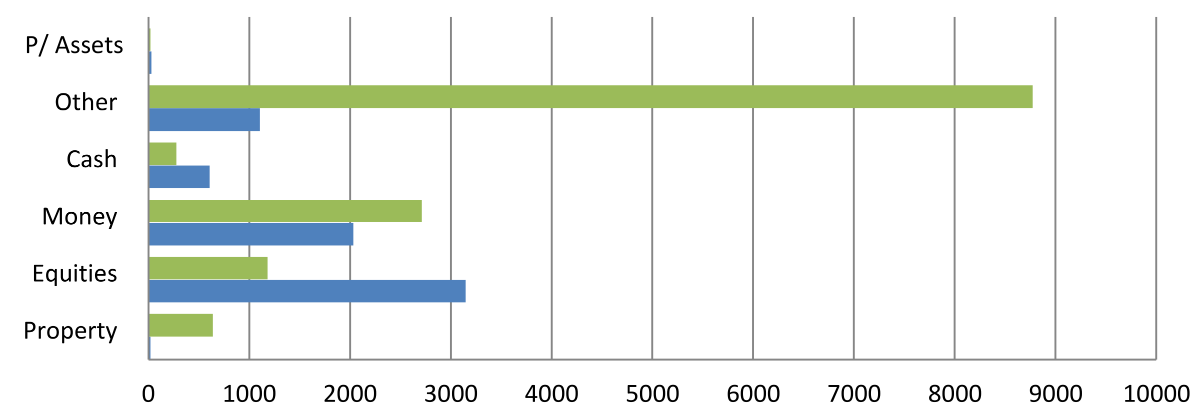
5.0 Asset Quality

As at 30 September 2014, reinsurers' assets were invested in :properties-5% or $0.64million(September 2013: 0% or$0.021million) ,equities - 9% or $1,18million(September 2013: 45% or $3,15million) ,money-market 20% or $2.71million(September 2013:29% or $2.03million),cash-2% or $0.278million (September 2013: 9% or $0.61million) and 64% or $8.77million was other investments(September 2013: 16% or $1.12million)(See Table 3 and Figure 2,below).

Table3: Total Assets for Reassurers for the quarter ended 30 September 2014

Asset Type	Baobab Re			FM Re			Total		
	Sept-13	Sept 14	%	Sept-13	Sept 14	%	Sept-13	Sept 14	%
Fixed Property (000)	0	0	0%	21	**640**	0%	21	640	2948%
Equities (000)	2,591	1,183	-54%	558	**0**	-100%	3,149	1,183	-62%
Money Market (000)	635	778	23%	1,398	**1,934**	38%	2,033	2,712	33%
Cash (000)	558	123	-78%	51	**155**	204%	609	278	-54%
Other Investments (000	769	8,774	1041%	338	**0**	-100%	1,107	8,774	693%
Prescribed Assets	30	20	-33%	0	**0**	0%	30	20	-33%
Total Assets (000)	**4,584**	**10,878**	137%	**2,367**	**2,729**	15%	**6,951**	**13,607**	96%

Figure 3: Total Assets for Reassurers for the quarter ended 30 September 2014($000)

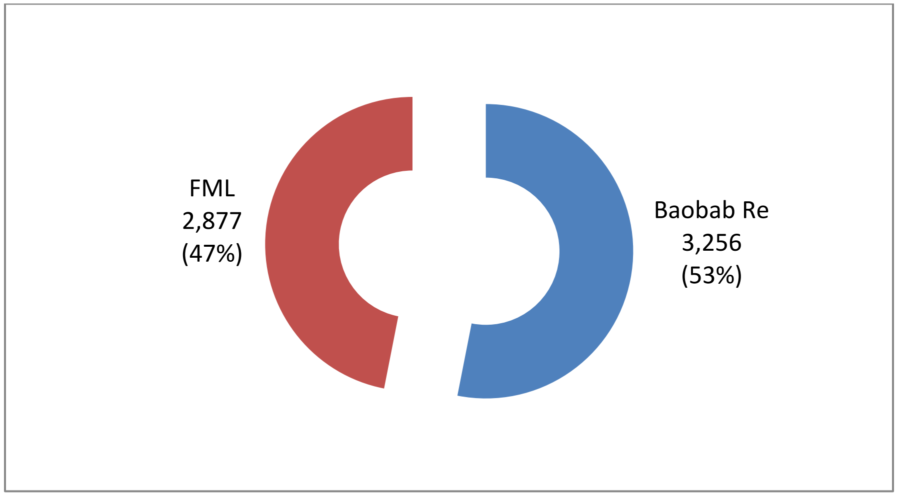


	Property	Equities	Money	Cash	Other	P/ Assets
% share	5%	9%	20%	2%	64%	0%
Sep,2014	640	1,183	2,712	278	8,774	20
% share	0%	45%	29%	9%	16%	0%
Sep,2013	21	3,149	2,033	609	1,107	30

6.0 Market Share

The market share was almost evenly balanced between the two players (See Figure 3, below).

Figure 4: Market share For Reassurers for the quarter ended 30 September 2014



7.0 Prescribed Assets

Out of a minimum level of 7.5%, the industry's uptake of prescribed paper was 1%. Players are however required to participate as availability improves to avoid statutory penalties (See Table 8 and 9).

Table 4: List Of Approved Prescribed Asset Paper

Issuer	Bond Name	Bond Description	Tenure	Coupon rate	Issue date
Fidelity Life Assurance	Fidelity Life Assurance Bond-$10million	Funding Development of South view Park	5years	11%	February 2014
IDBZ	IDBZ Bond-$65million	Infrastructure Development	5years	8%	November 2014
NMB Bank	SMEs-$10million	SMEs capitalization	2years	10%	July 2014
AGRIBANK/FBC BANK	Agrobank/FBC Agrobills-$15million	To finance the cropping season	270 & 360 days	10%	July 2014
CBZ	Agrobills-$105 million	Purchase of 2013/2014 grains by GMB	1year	9-12%	October 2014
ZB Financial Holdings	ZB Agrobills-$10 million	To support 2014/15 Agricultural season	270 & 360 days	10%	October 2014
Bindura Nickel Corporation	Bindura Nickel Bond-$20 million	Recapitalization of the mine	5years	10%	November 2014

8.0 Acts, Statutory Instruments and Circulars

For the quarter under review the Commission circulated or issued the following circulars to guide the industry on various issues affecting the operations of the industry:-

Table 5: Issued Circulars for the year ended 30 September 2014

Details	Subject Matter	Issue date
Circular No. 1 of 2014	Calculation of capital for short term Insurers	5 June 2014
Circular No.2 of 2014	Commutation of Pensions	11 April 2014
Circular No.3 of 2014	Dissolution of Pension Funds	03 August 2014
Circular No.4 of 2014	Calculation of Capital for non-life companies	10 September 2014
Circular No. 5 of 2014	Preparation of Financial Statements	9 October 2014
Circular No. 6 of 2014	Mordenising Insurance Regulation in Zimbabwe	9 October 2014
Circular No. 7 of 2014	Actuarial Standards for Pension fund valuation	21 October 2014
Circular No. 8 of 2014	Actuarial valuation For short Term Insurance Companies	14 November 2014